



Defending Tomorrow: A Strategic Roadmap for Thales Amid Europe's Race for Autonomy

Alpine Strategy

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Executive Summary

Thales should not merge with Rheinmetall and should instead acquire Almato

Thales should not merge with...



- Rheinmetall is a defense platform and ammunitions manufacturer, with activities in electronics and civil power systems
- Despite potential synergies, the context surrounding the merger makes any prospect of it **unlikely**



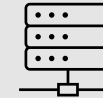
- A **merger** with Rheinmetall would lead to large scale share dilution for Thales shareholders
- Despite \$4.5B in modeled synergies, the merger of equals **fails to achieve EPS break-even within 5 years** and requires materially higher synergy realization to justify structure



- Largely varying **operating verticals and strategic direction** make a merger infeasible
- **Sovereignty and regulatory issues** would likely have a negative impact on the possible integration

And instead acquire...

Almato



- **Almato** is a European leader in **semantic data platforms**, used to take informed decisions based on integrated data
- **Aligns strongly** with Thales' strategic direction of staying at the forefront of emerging technologies, and being a European defense champion



- Almato is **private** and can reasonably be expected to be acquired with an offer of **€200mn**, with Thales often having completed transactions of similar sizes in the past



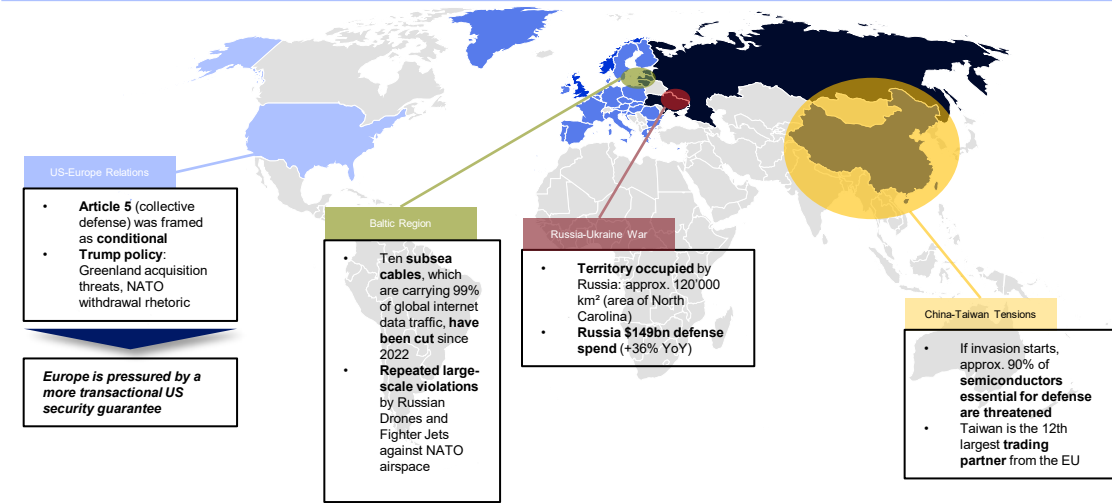
- Acquiring Almato is aligned with Thales' strategic direction of being a **technological leader** and would position Thales to develop a leading European solution for an increasingly valuable technology in modern defense

€800B Defense Awakening: Europe's Moment

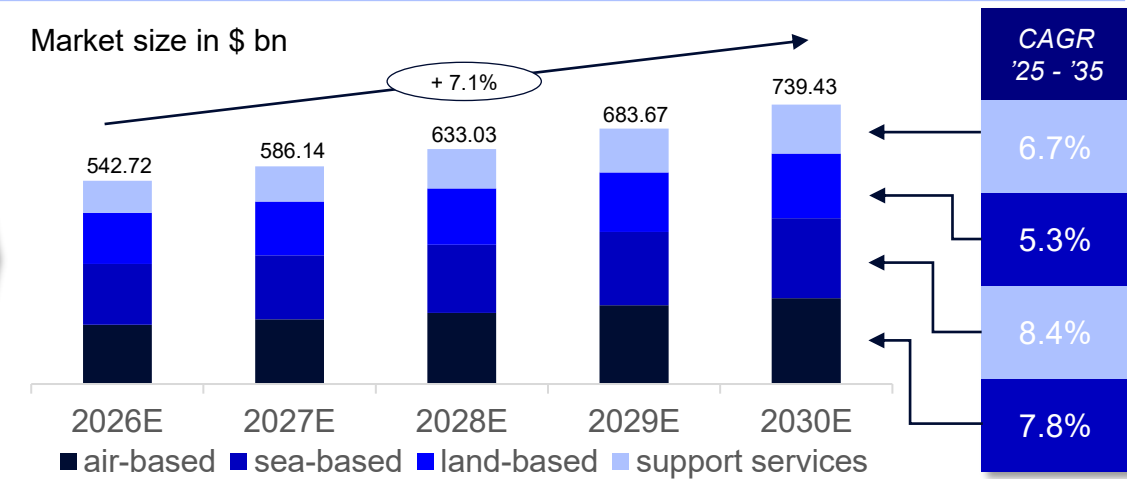
THALES

Rising tensions drive European defense spending surge, creating urgency for sovereign defense technology infrastructure.

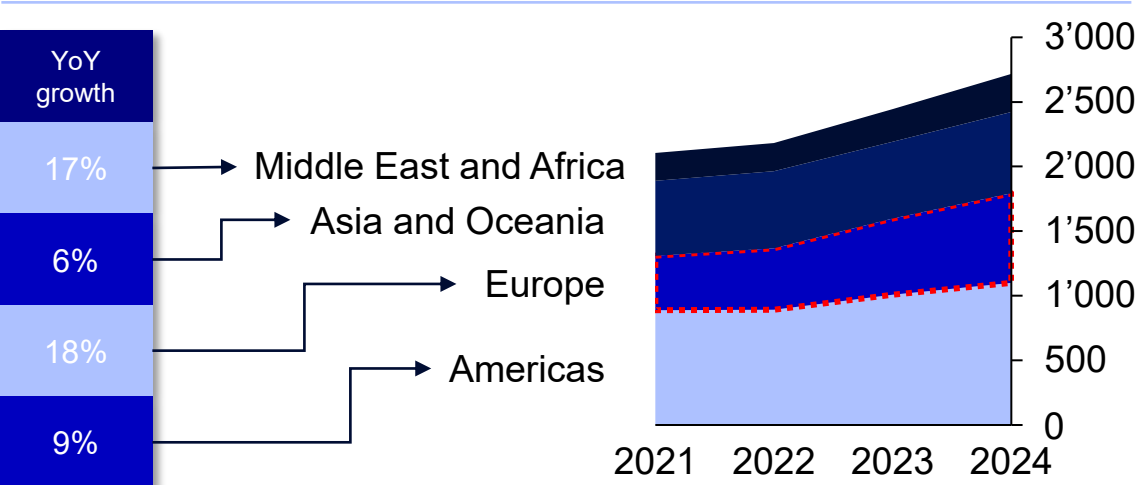
Geopolitical tensions around Europe escalate



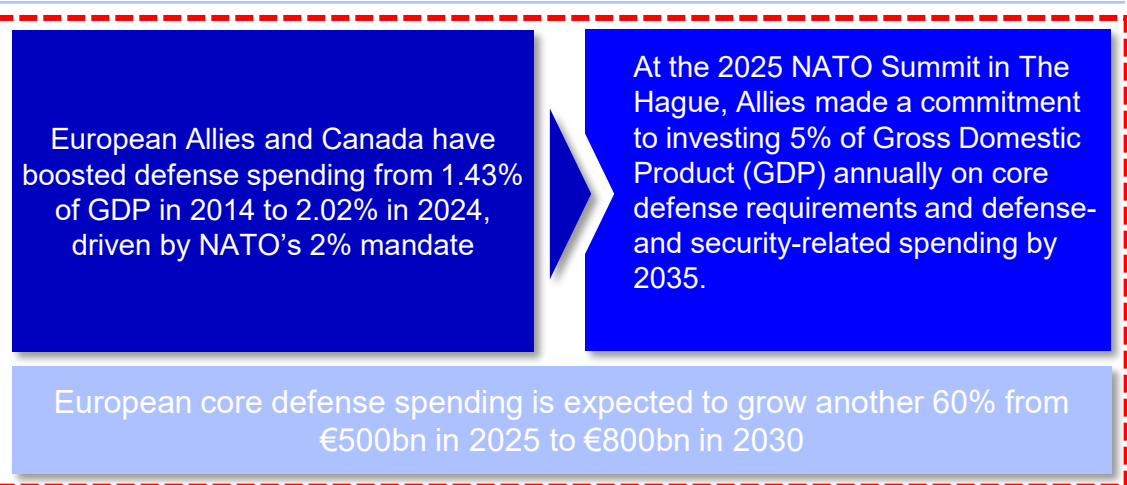
...leading to growth in the commercial defense sector



...caused by increased government spending on defense (\$bn).



The European Defense Spending Acceleration



Sources: Beyer, J. (2025), Business Research Insights (2025), Cooper, H. (2026), Core Market Research (2025), Defencematters.eu Correspondents (2026), Global Growth Insights (2026), Mordor Intelligence (2025), Mordor Intelligence (n.d.), NATO (2025), NATO (2025), Office (2024), Research and Markets (2025), Research and Markets (2026), Statista (2023), Statista (2024), The Business Research Company (2026)

Fragmentation Tax: Europe's Defense Efficiency Gap

THALES

Europe's fragmented defense industry wastes €47B annually in duplication. Consolidation is essential to meet NATO's 5% spending target.

Europe’s defense industry is fragmented, inhibiting its scale

Scale Limitations: European states and companies are smaller than many of their global counterparts, limiting their capacity to produce at scale.

National Protectionism: National interests, regulations, and a lack of coordinated procurement mechanisms increase the incentives for domestic manufacturing over cross-border investments and cooperation.

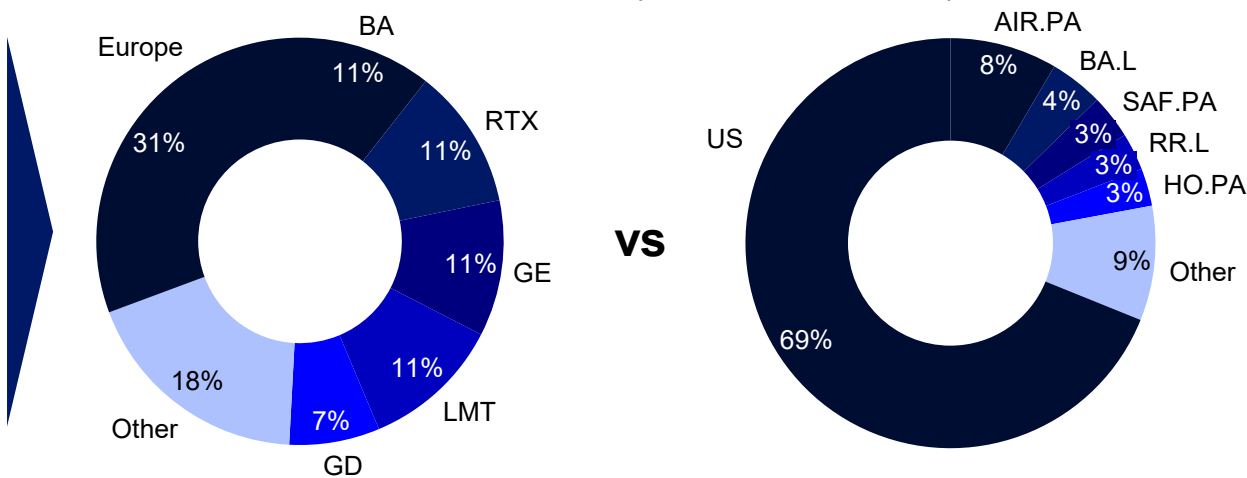
Declining Collaboration: Even as European defense spending has risen, intra-European collaboration has often decreased.

EU Debt Pooling Constraints: Europe is constrained in its ability to pool debt and coordinate large-scale, cross-border military investments across EU member states.

Shallow EU Capital Markets: Europe’s capital markets have less depth and liquidity than US capital markets, making it harder for companies to raise funds, innovate, and compete

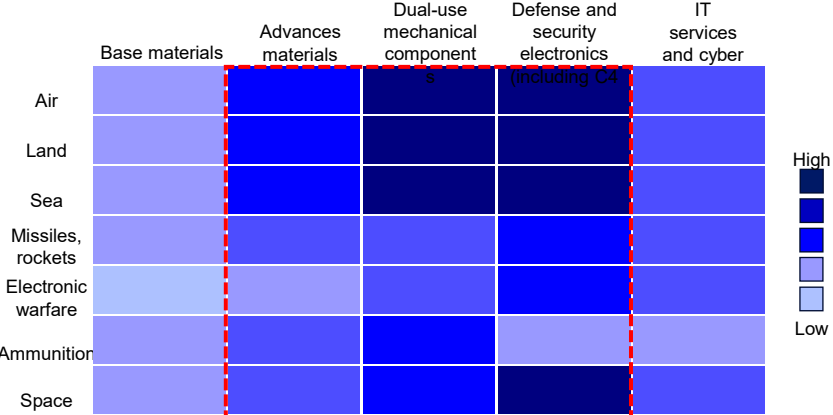
Concentration Disparity: US 69% vs EU 31%

Market Share in the Defense Sector from companies in the US and Europe



Supply Chain Fragmentation: €9.5B Opportunity

Degree of fragmentation of European defense supply chain



Synergy Potential

Consolidation in these three segments could unlock around \$9.5 billion in annual run-rate cost synergies, more than the defense expenditure of 18 of Europe's 30 NATO members. If achieved early and sustained, these savings would amount to approximately \$47 billion cumulatively by 2030, roughly equivalent to Italy's 2025 defense budget.

Consolidation Value: Impact Across Stakeholders

Key Drivers of Consolidation

- Increased Defense Budgets: New NATO 5% spending target by 2035
- Regulatory Support: EU initiatives now actively incentivizing consolidation

Efficiency Gains:

- reduced duplicative R&D
- enables larger and more sustained investment
- accelerate the diffusion of innovation across programs

Unified Strength

- Lower unit cost
- Higher and more predictable output
- Faster innovation diffusion
- More resilient industrial base

Efficiency Gains:

Government: Lower costs, improved availability, greater interoperability

Industry: Scale for reinvestment in capacity, advanced manufacturing, R&D

Investors: Scalable industrial platforms enable compounding value creation

Consolidation offers potential for faster capability delivery and stronger industrial resilience.

Sources: Goldman Sachs (2025), NATO (2025), Yahoo Finance (2025)

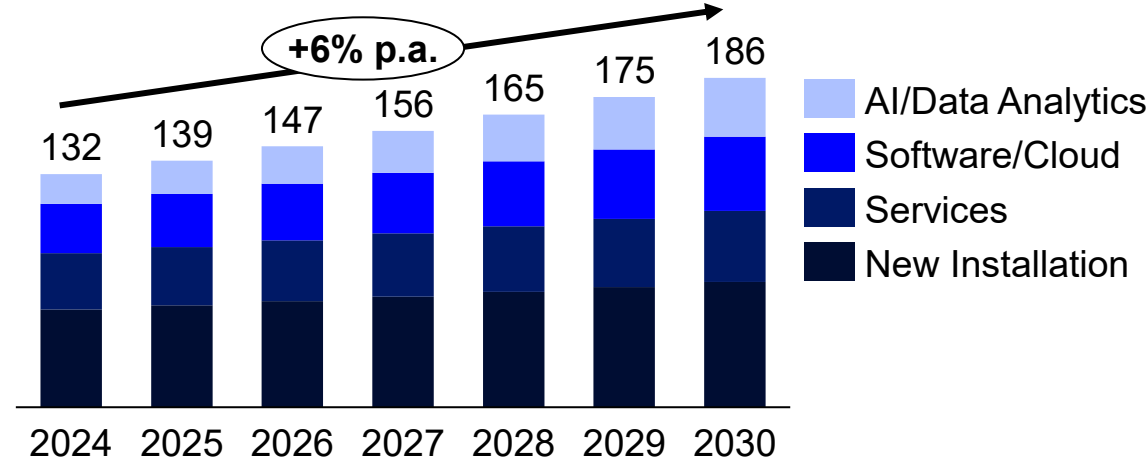
C4ISR: The Intelligence Revolution

Powering the Future of Defense Intelligence



The Intelligence Layer: Where €54B Flows

C4ISR Market Growth



C4ISR's Five Critical Layers

Artificial Intelligence Integration:
Enhanced data processing and decision-making capabilities improve situational awareness and operational efficiency.

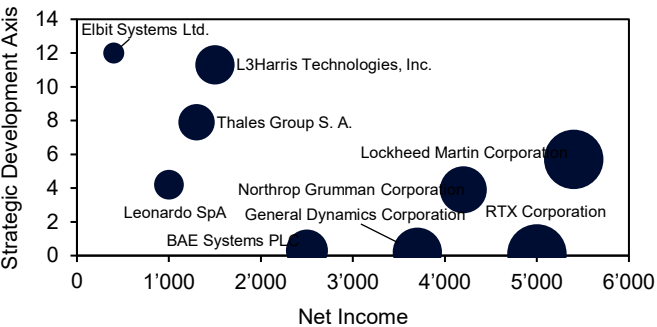
Networked Sensor Technologies:
Advanced interconnected sensor networks enable real-time intelligence sharing and more effective data collection.

Cloud Computing Adoption:
Scaling and flexibility in data storage and processing empower better collaboration across military and intelligence agencies.

Cybersecurity Innovations:
Increased focus on safeguarding systems from cyber threats enhances the resilience and reliability of C4ISR operations.

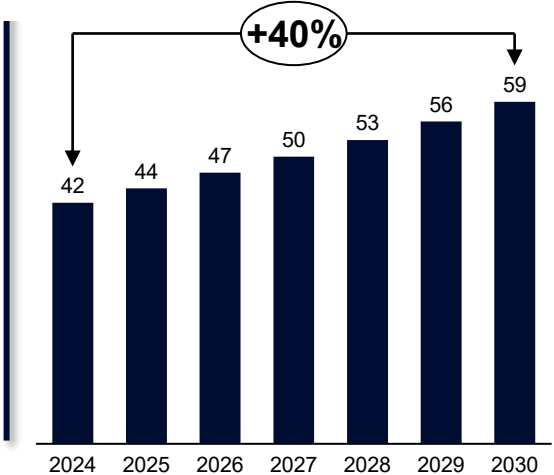
Autonomy and Robotics:
Drones and unmanned systems streamline reconnaissance and reduce risks to personnel.

Key Players



The C4ISR competitive landscape reflects industry consolidation dynamics: established players command market scale through capital intensity, while emerging players compete through specialized technical expertise and interoperability solutions.

Legacy Barriers to Next-Gen C4ISR



Key Market Drivers

EU defense is expected to reach \$942 bn, creating strong budget momentum for C4ISR programs in Europe.

Governments are prioritizing network-centric capabilities, directing funds to integrated C4ISR, secure 5G/SATCOM, and real-time ISR.

Rapid growth in space and unmanned systems boosts demand for C4ISR to fuse satellite, UAV, and maritime-drone data into defense networks.

Challenges in the Market

High acquisition and maintenance costs for satellites, networks, and ISR platforms restrict large-scale C4ISR deployment in parts of Europe.

Mixed legacy and modern systems cause interoperability and integration issues, increasing delays and costs.

Rising cyber and electronic threats, plus strict export-control rules, complicate deployment and sharing of C4ISR technologies in Europe.

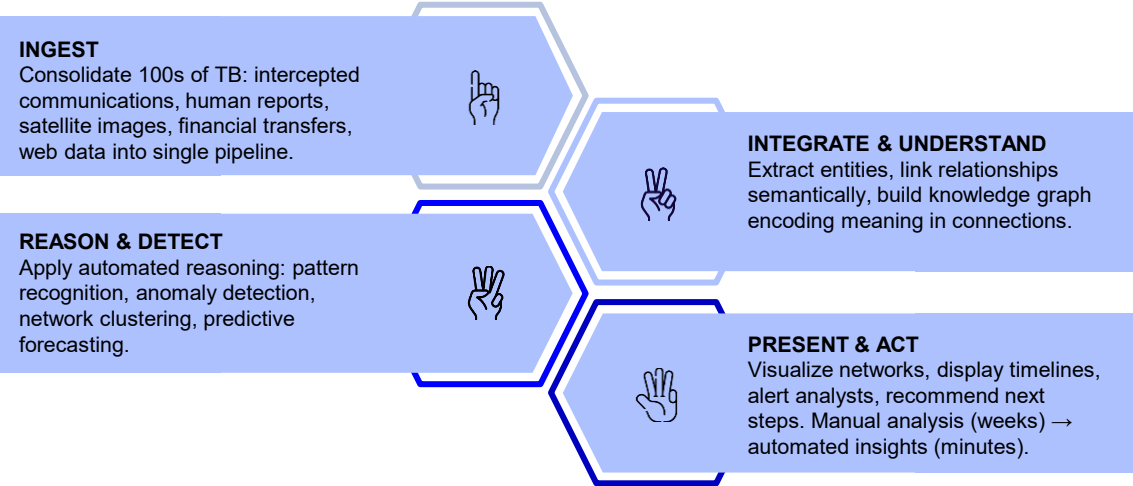
Sources: Atlantic Council (2023), D'Souza, A. and Singh, R. (2025), Grand View Research (2024), Grand View Research (2024), Locus Find (2026), McKinsey (2026), MENAFN (2025), Mobility Foresights (2025)

The Semantic Edge

Unifying data for faster, smarter defense decisions.



Turning Chaos Into Clarity: 4-Step Intelligence Process



Semantic Platforms in Defense: Five Use Cases

Maritime Domain Awareness: Integrates AIS, satellite imagery, radar, and signals intelligence to detect threats, track hostile vessels, and protect critical infrastructure.

Battlefield Coordination: Links ground sensors, air reconnaissance, drone feeds, and intelligence into unified command picture for accelerated cross-domain targeting.

Threat Intelligence Networks: Connects communications intercepts, human reports, financial transfers, and movement patterns to identify threat actors and predict actions.

Logistics & Supply Chain: Integrates equipment inventories, transport tracking, consumption rates, and damage assessments for optimized supply management and readiness.

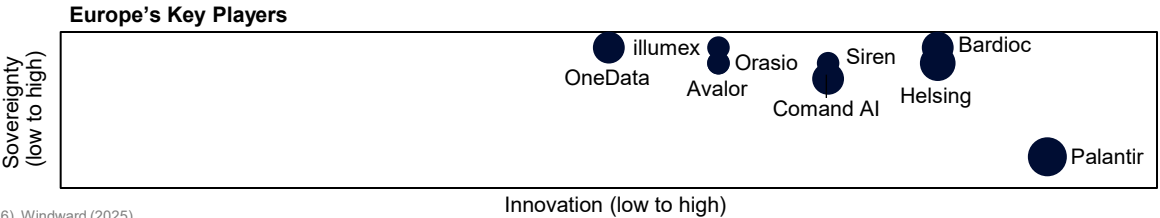
Cyber & Electromagnetic Awareness: Links network sensors, cyber intelligence, RF monitoring, and command link analysis for integrated cyber-physical defense.

Why Semantic Platforms Win: Speed, Integration, Security

The Problems	The Solutions
Data silos: Radar, drones, satellites, signals intelligence (SIGINT), human reports all in separate systems	Integrate diverse sensors → Single unified operating picture (common operational picture)
Format conflicts: Different data structures, time synchronization issues, classification levels	Link relationships → Connect data from satellites + drones + signals + reports into coherent threat networks
Speed bottleneck: Manual integration slows decision-making (traditional cycle: ~20 minutes)	Enable real-time reasoning → Anomaly detection, pattern matching, threat prediction in seconds (vs. ~20 minutes)
Multi-domain fragmentation: Air, sea, land, cyber data doesn't automatically connect	Support multi-domain coordination → Air, sea, land, cyber data flows into one decision environment
Fusion failures: No automatic linking of relationships (who is connected to whom, what events are related)	Maintain security → Maintains sovereignty, protects classification, enables interoperability.

Europe's Semantic Imperative: Why & Who

Strategic Necessity	Interoperability Gap	AI Sovereignty
Ukraine's AI-driven targeting cut decision cycles from 20+ minutes to <2 minutes. Europe must adopt semantic data fusion to match modern threat speed.	EU defense forces operate fragmented national systems. Semantic platforms enable unified combat cloud across member states and NATO for integrated multi-domain operations.	EU investing €7B in semantic systems (European Defence Fund) to achieve defense autonomy by 2030. Control over defense data = control over security destiny.



Sources: Atlantic Council (2023), Bass, P. (2026), Defense Logistics Agency (2025), Henning, M. (2025), Koch, M.-C. (2025), Sauter, C. (2024), Systematic (2025), Systematic (2026), Windward (2025)

Overview of Thales' Business



Thales is a defense electronics and digital systems integrator for aerospace, defense, and critical infrastructure

Thales encompasses three main business areas...



Aerospace: Thales specializes in avionics systems, in-flight entertainment, and space technologies



Defense: Thales provides solutions in electronic warfare systems, radar technologies, mission systems, naval combat solutions

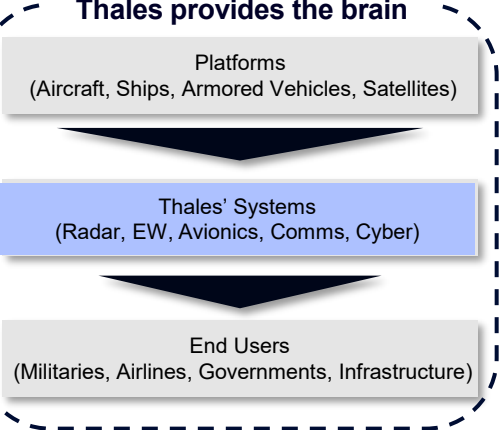


Cyber and Digital: Thales provides cybersecurity services, digital identity solutions, and connectivity solutions

...and acts as a system integrator and electronics leader

- Thales designs and integrates **electronics** and **software systems**, allowing the hardware, software, and sub-systems to function together
- Thales provides solutions that collect, process, safely store, and connect **data** to inform decisions
- Thales provides solutions for **military** and **civilian** use, with a portfolio of **over 370 different solutions** spread across their three main divisions
- Thales has a high share of revenue from govt. contracts, which leads to a dependence on defense budgets, but provides foreseeable growth

Thales provides the brain



Platforms
(Aircraft, Ships, Armored Vehicles, Satellites)

Thales' Systems
(Radar, EW, Avionics, Comms, Cyber)

End Users
(Militaries, Airlines, Governments, Infrastructure)

Thales' main competitors

Aerospace



Defense



Cyber & Digital



Thales leads in



Flight Avionics:
#3 worldwide



Institutional Satellites:
#1 in Europe



Defense sensors:
#1 in Europe



Air Traffic Management:
#1 worldwide

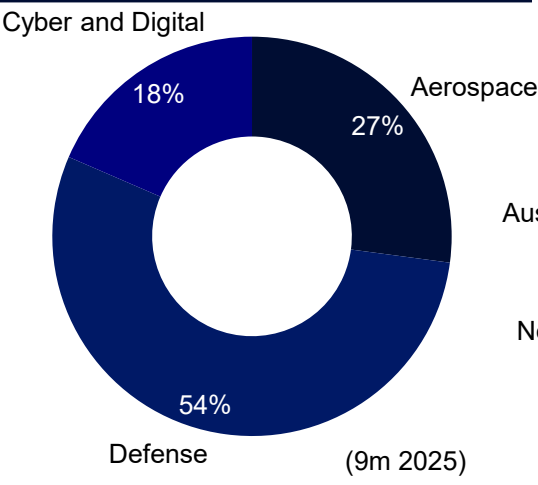


Data Security:
#1 in Europe

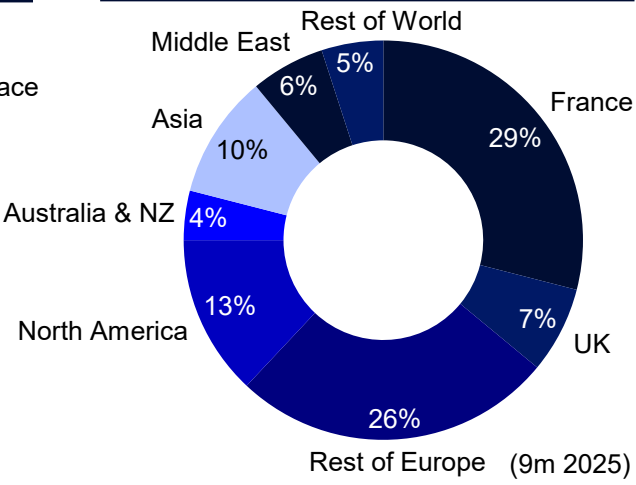


Digital Identity:
#1 worldwide

Sales by Segment



Sales by Geography



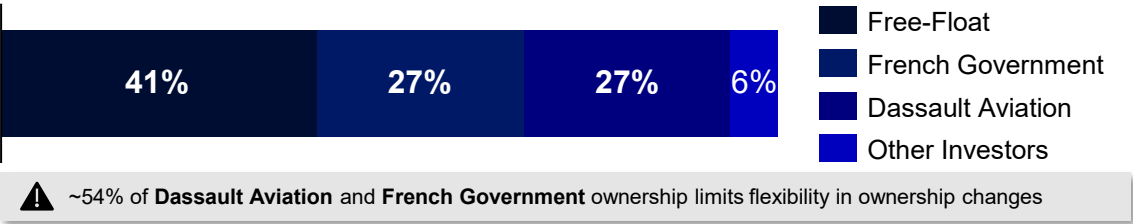
Sources: Thales Group (2025a), Thales Group (2025c), MarketScreener (2025), Pitchbook (2025)

Thales Outlook/Past 2028 Strategy & Financial Trajectory

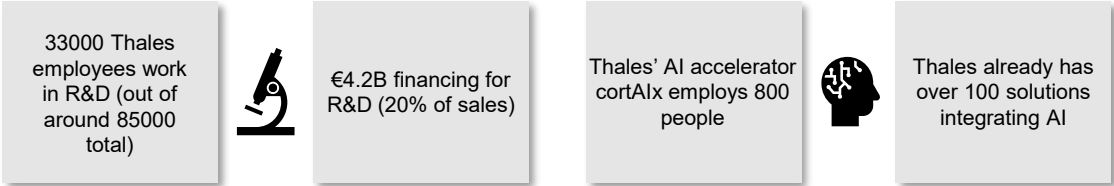
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Thales’ past acquisitions and investments in R&D and AI sets Thales up to achieve its strategic objectives

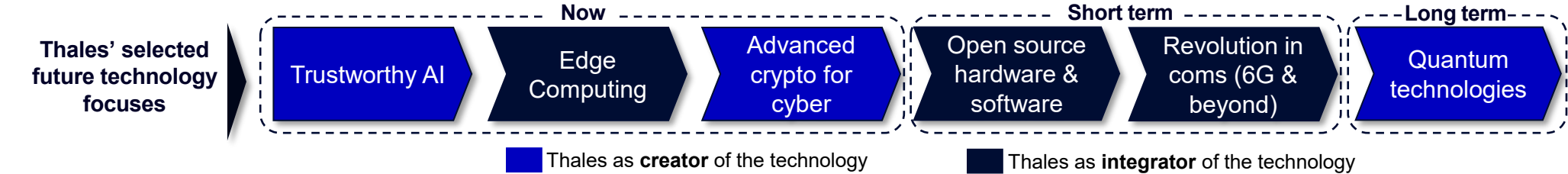
Thales’ ownership structure



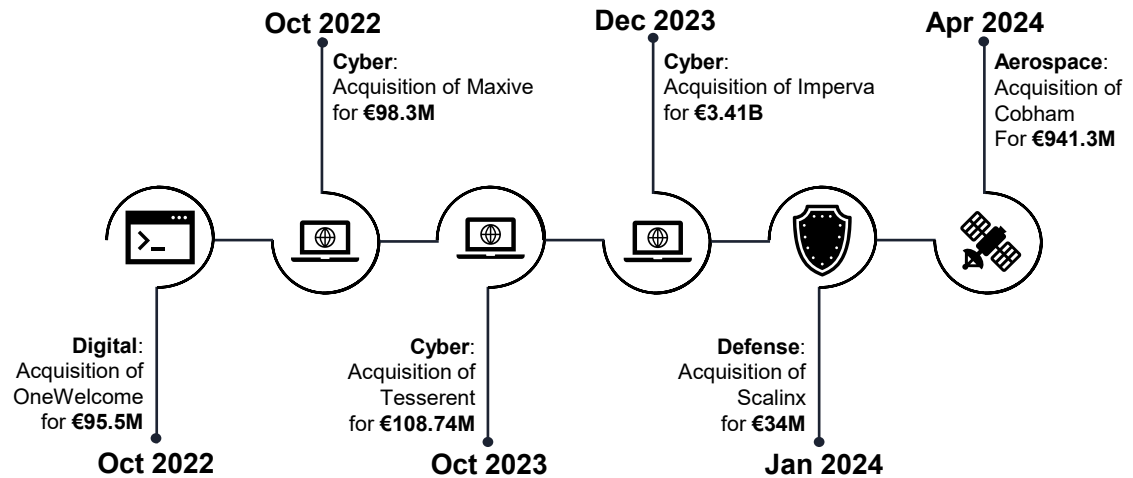
Thales is committed to R&D...



...and to integrating AI in their solutions



Thales is actively acquiring firms to achieve its strategic objectives



2028 Strategic Priorities

Deliver Growth	Premium Positioning	Differentiate by Technology	Employer Attractiveness	ESG Leadership
- Maintain leadership in growing markets - Resilient business model - Active portfolio management	- Combined delivery excellence & innovation - Value creation for customers - Leveraging enabled technologies	- Embracing technology disruptions - Staying ahead of the competition - Acceleration in AI; investments in quantum	- Investment in human capital - Recruiting the best talent - Become a ‘Learning Company’	- Protecting our societies, people, and the planet - Delivering on ESG ambition

Sources: Thales Group (2025c), Pitchbook (2025), Thales Group (2024)

Rheinmetall Overview Business Model



Rheinmetall is a heavy defense platform and ammunition manufacturer, with activities in electronics and civil power systems

Rheinmetall’s four main divisions...



Vehicle Systems (VS): Rheinmetall manufactures combat, support, logistics, and special vehicles.



Weapons and Ammunition (W&A): Rheinmetall manufactures weapons and large-caliber ammunition for land, air, and sea usages

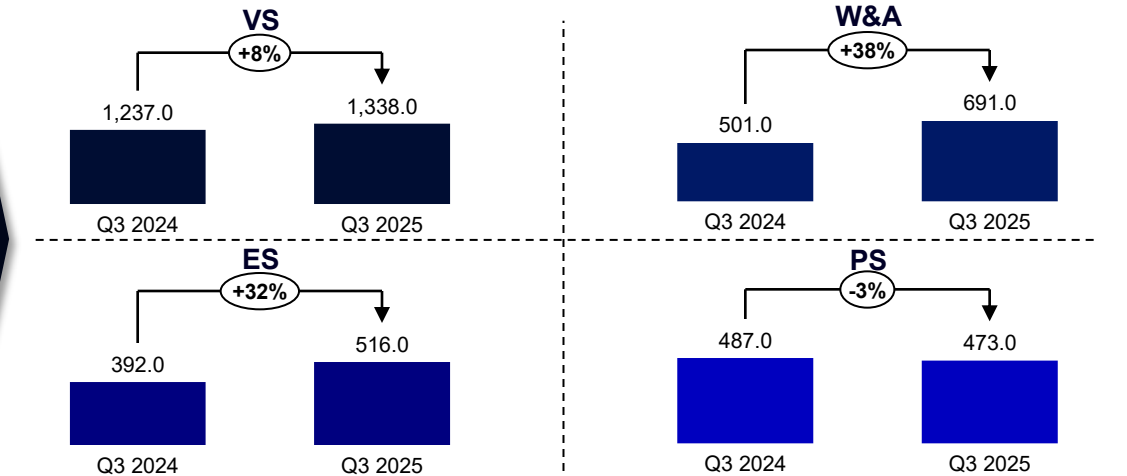


Electronic Solutions (ES): Rheinmetall provides air defense, radar, and digital systems for defense, along with satellite reconnaissance in space

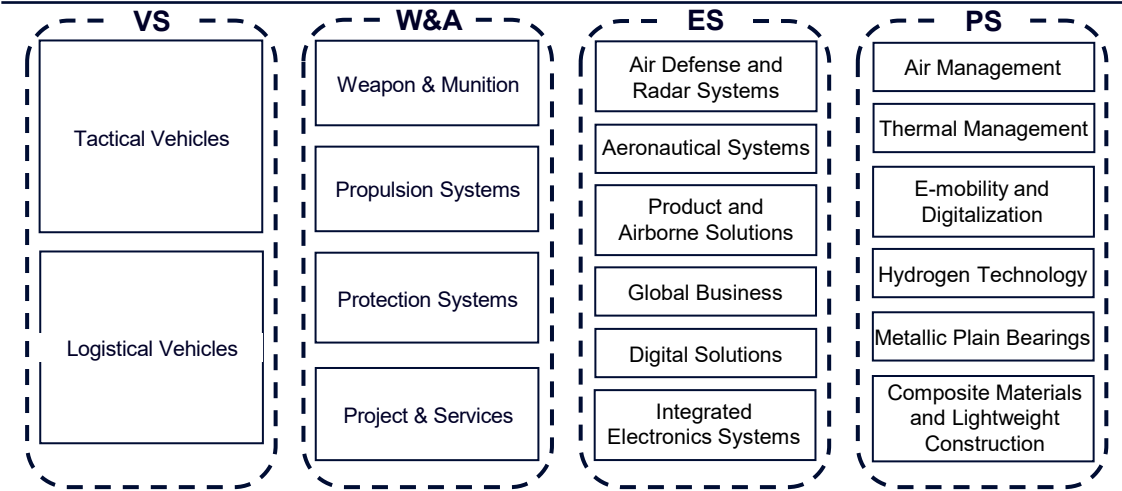


Power Systems (PS): Rheinmetall provides civil-focused control systems and digital applications for the automotive and energy sector

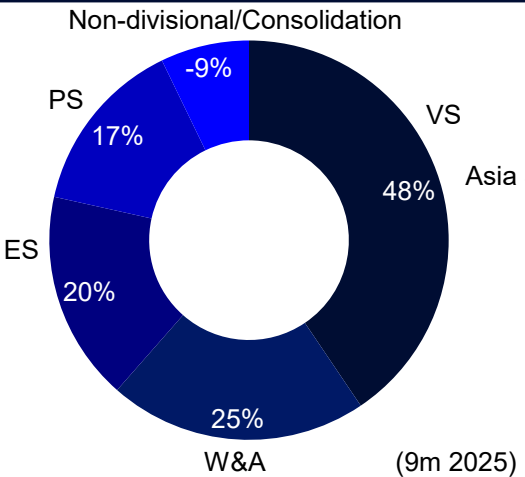
...have revenue growth concentrated on W&A and ES



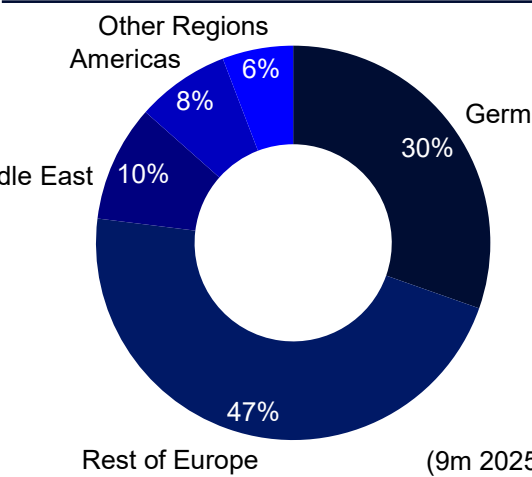
Rheinmetall’s business units and solutions are as varied as Thales’



Sales by Division



Sales by Geography



Sources: Rheinmetall AG (2025a), Rheinmetall AG (2025b), Rheinmetall AG (2025c), MarketScreener (2025)

Rheinmetall's Strategic Direction and Challenges

Rheinmetall continues to expand its domain of activities, with this also creating potential headwinds along with existing external challenges

Rheinmetall targets collaboration...

CAD Malaysia 2025	Leichtwerk 2025
Blackned 2025	Reliance Defense 2025
Hagehorn NC 2025	Resonant Holdings 2025
Lockheed Martin 2025	Anduril Industries 2025
ICEYE 2025	Iveco Defense Vehicles 2025
Indra Systems 2025	Naval Equipment 2025

M&A Joint Ventures/Strategic Partnerships

...expansion into new domains...

Naval

N.V.L
NVL GROUP

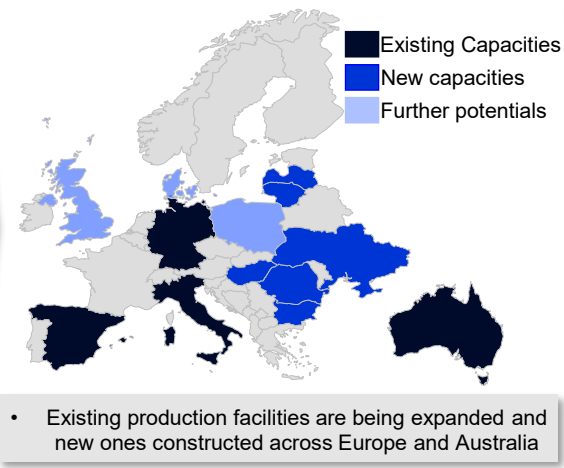
- Rheinmetall reached an agreement with Naval Vessels Lürssen
- Potential sales in 2030 of ~€5bn with above industry margins
- Undisclosed price

Space

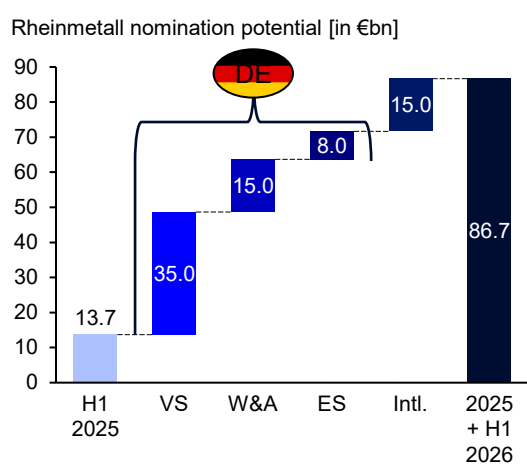
ICEYE

- ICEYE & Rheinmetall JV in Sep 2025
- Immediate need for up to 40 satellites
- Expected Rheinmetall Nomination of ~€2bn in the next two quarters

...and expanding production capacity...



...to meet strong demand



Key challenges for Rheinmetall

Heavy reliance on German and European politics

Revenues come largely from govt. contracts, so are highly exposed to politics and defense budget decisions

This was seen when recent delays in German defense orders due to political change and federal budget decisions led to an 18% drop in nomination value (9M 2025 vs. 9M 2024)

Concentration of activities increases risks

Rheinmetall's decision to focus on defense and security reduces diversification of revenue and increases vulnerability to shifts in defense demand

This can lead to declining innovation and competitiveness in the Power Systems division, which still accounts for 17% of total revenue, as already seen with the 43% drop in PS operating results (Q3 2025 vs. Q3 2024)

Integration risk from expansion into naval and space

Entering new domains requires building up new expertise, investment, and aligning existing operations with completely new divisions

An example of what this integration could lead to can be seen with the challenges with restructuring the Power Systems division, where disruption to existing processes and a shift in emphasis can negatively impact revenues

Regulatory and antitrust exposure

Growing consolidation and securing larger portions of German government contracts increases the risk of antitrust measures being taken by regulators

Antitrust measures could lead to blocked deals, pricing controls, or forced divestitures, and may lead the German government to increasingly choose other suppliers

Sources: Rheinmetall AG (2025a), Rheinmetall AG (2025b), Rheinmetall AG (2025c).

Peer Segment Selection

Defense electronics & sensors manufacturers were eliminated as they do not share revenue and cost drivers with Rheinmetall

	Market size	Market CAGR	Revenue Drivers	Cost Drivers	Retained
	-	31.40% (’24-’30)	✓ Government procurement volumes ✓ Long-term defense contracts ✓ NATO stockpile replenishment ✓ Platform and ammunition demand	✓ Raw materials & energy intensity ✓ Manufacturing labor costs ✓ Capital-intensive production facilities ✓ Regulatory & compliance requirements	-
Land Systems & Ammunition	\$72.2bn (’24)	7.40% (’24-’30)	✓ Government procurement volumes ✓ Long-term defense contracts ✓ NATO stockpile replenishment ✓ Platform and ammunition demand	✓ Raw materials & energy intensity ✓ Manufacturing labor costs ✓ Capital-intensive production facilities ✓ Regulatory & compliance requirements	
Defense Electronics & Sensors	\$133.9bn (’25)	4.80% (’26-’34)	✓ Government procurement volumes ✓ Long-term defense contracts ✓ NATO stockpile replenishment - X Platform & ammunition demand	- X Raw materials & energy intensity - X Manufacturing labor costs - X Capital-intensive production facilities ✓ Regulatory & compliance requirements	
Advanced Land Weapon Systems	\$4.9bn (’24)	6.88% (’25-’33)	✓ Government procurement volumes ✓ Long-term defense contracts ✓ NATO stockpile replenishment ✓ Platform and ammunition demand	✓ Raw materials & energy intensity ✓ Manufacturing labor costs ✓ Capital-intensive production facilities ✓ Regulatory & compliance requirements	

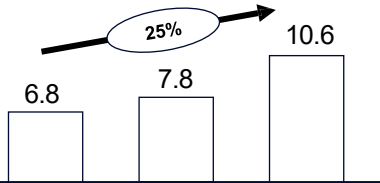
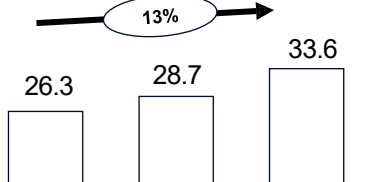
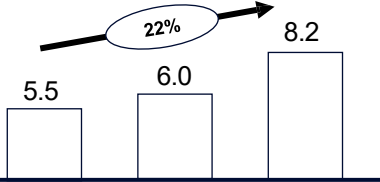
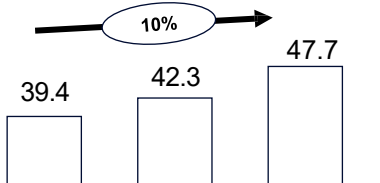
The reliance on **volume-driven procurement** and **capital-intensive manufacturing** differentiates land-based defense systems from electronics-focused defense segments.

Land Systems & Ammunition is the closest structural comparable segment

Sources: Business Research Company (2026), Yahoo Finance (2026a), IMARC (2026a), Bloomberg (2026), Fortune Business Review (2026), GM Insight (2026), IMARC (2026b), Technavio (2026), Grand View Research (2026)

Peer Group Analysis

Rheinmetall leads the peer group on EBIT margin while delivering materially stronger top-line growth

Company Overview		Sales FY22 - LTM (\$bn)	EBITDA Margin FY24		EBIT Margin FY24			
	- Publicly listed German defense prime - Owns and operates land vehicle manufacturing and munitions facilities - Production footprint across EU	 <table><tr><td>6.8</td><td>7.8</td><td>10.6</td></tr></table>	6.8	7.8	10.6	 17.99%	 14.56%	
6.8	7.8	10.6						
	- Publicly listed UK defense prime - Integrated land systems and ammunition manufacturer - Manufacturing footprint across the UK, US, and Sweden	 <table><tr><td>26.3</td><td>28.7</td><td>33.6</td></tr></table>	26.3	28.7	33.6	 12.36%	 9.40%	
26.3	28.7	33.6						
	- Publicly listed South Korean defense manufacturer - Integrated artillery and armored vehicle production facilities - Export-driven production model with European contracts	 <table><tr><td>5.5</td><td>6.0</td><td>8.2</td></tr></table>	5.5	6.0	8.2	 17.17%	 14.23%	
5.5	6.0	8.2						
	- Owned by Norwegian state and Patria - Ammunition and rocket motor manufacturer - Ammunition production sites - NATO procurement contracts	 <table><tr><td>39.4</td><td>42.3</td><td>47.7</td></tr></table>	39.4	42.3	47.7	 11.85% Median: 14.77%	 10.00% Median: 12.12%	
39.4	42.3	47.7						

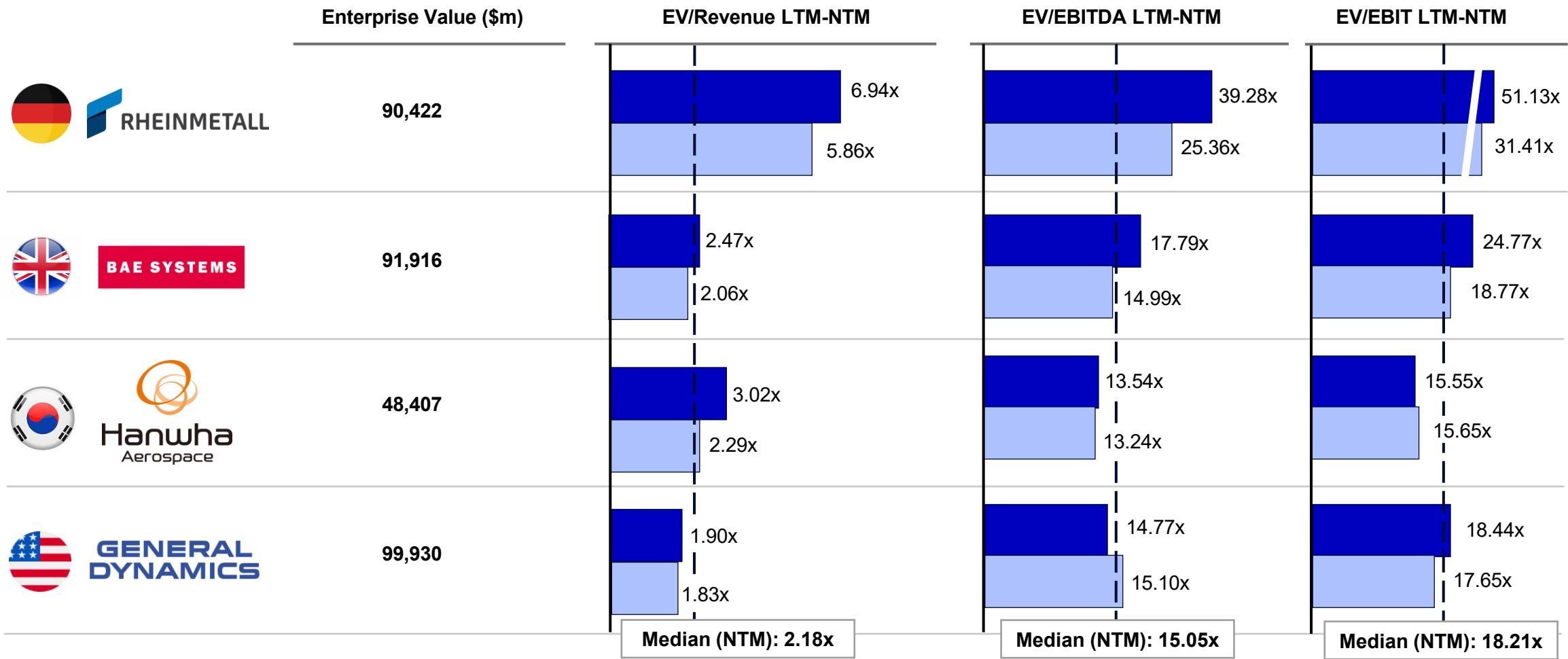
Within a structurally comparable land-defense peer group, **EBITDA margins** cluster around 14% and EBIT around 12%, yet **profitability dispersion** reflects differences in **scale** and **operating leverage**

Rheinmetall has the **strongest growth** with **high EBIT margins**, supporting **premium positioning** among peers

Sources: Capital IQ (2026a), Capital IQ (2026b), Capital IQ (2026c), Capital IQ (2026d), Yahoo Finance (2026a)

Peer Group Trading Multiples

Rheinmetall trades at premium multiples compared to the peer group



Rheinmetall trades at significantly increased multiples compared to peers

LTM NTM

Sources: Capital IQ (2026a), Capital IQ (2026b), Capital IQ (2026c), Capital IQ (2026d), Yahoo Finance (2026a)

Precedent Transactions

Recent aerospace and defense transactions indicate a two-tier valuation structure

Announcement Date	Target	Acquirer	EV/EBITDA	EV/Revenue
26.12.2025			12.79x	8.26x
23.05.2024			11.86x	1.74x
31.08.2023			32.88x	3.77x
12.09.2022			26.87x	3.66x
30.06.2022		STAR Capital Partnership	8.80x	2.38x
Mean			18.64x	3.96x

Justifying the Observed Valuation Range

- Precedent defense transactions range from **8.8x to 32.9x** EV/EBITDA with a median of **12.8x**
- Most industrial defense assets transact in a **9-13x** range, reflecting ongoing consolidation and **increased M&A activity** across the European defense market
- Higher multiples (**25-33x**) reflect **strategic acquisitions** of technology driven aerospace and ISR platforms
- Applying the full-set average would overstate for capital intensive land systems
- A valuation in line with the **industrial cluster** reflects comparable growth, margin profile, and capital intensity

Sources: Pitchbook (2026a), Pitchbook (2026b), Pitchbook (2026c), Pitchbook (2026d), Capital IQ (2026f), Yahoo Finance (2026c), Roland Berger (2026)

Rheinmetall Discounted Cash Flows



Rheinmetall’s valuation and cash flow forecasts

Discounted Cash Flow

Unlevered Free Cash Flows

Fiscal year ended	Actual		Forecasts			
	12.31.24	12.31.25	12.31.26	12.31.27	12.31.28	12.31.29
Revenue	10'549'214	11'464'330	16'477'050	23'052'840	29'952'740	38'713'520
% growth		8.7%	43.7%	39.9%	29.9%	29.2%
EBITDA	1'897'582	2'657'670	3'800'940	5'472'080	7'366'890	9'395'600
% margin	18.0%	23.2%	23.1%	23.7%	24.6%	24.3%
EBIT	1'536'241	2'083'500	3'090'310	4'573'110	6'108'000	8'189'470
% margin	14.6%	18.2%	18.8%	19.8%	20.4%	21.2%
Tax on EBIT	416'321	564'629	837'474	1'239'313	1'655'268	2'219'346
Tax rate	27.1%	27.1%	27.1%	27.1%	27.1%	27.1%
NOPAT	1'119'920	1'518'872	2'252'836	3'333'797	4'452'732	5'970'124
Depreciation & amortization	417'230	574'170	710'630	898'970	1'258'890	1'206'130
Changes in net working capital	304'864	(130'134)	(712'836)	(935'113)	(981'203)	(1'245'830)
Capital expenditures	(791'921)	(1'229'730)	(1'801'190)	(2'072'640)	(2'315'730)	(2'080'530)
as % of revenue	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%
Unlevered free cash flows (UFCF)		733'177	449'440	1'225'014	2'414'689	3'849'894
Net working capital (WC Assets - WC liabilities)	1'805'019	1'500'155	1'630'289	2'343'125	4'259'441	5'505'271
as % of revenue		14.2%	14.2%	14.2%	14.2%	14.2%
Present value of UFCF on Feb 19, 2025 valuation date						
	Val date	Yr 1 - Stub	Year 2	Year 3	Year 4	Year 5
Date for discounting cash flows	19.02.2025	31.12.2025	31.12.2026	31.12.2027	31.12.2028	31.12.2029
Unlevered free cash flows (UFCF) stub adjusted	86.7%	635'420	449'440	1'225'014	2'414'689	3'849'894
Present value of of unlevered free cash flows		600'841	398'302	1'017'474	1'879'350	2'808'256

Cost of Debt	
Interest Expense	146'051
Total Debt	2'508'541
Tax Rate	27.1%
Cost of Debt (after tax)	4.2%

Cost of Equity	
Risk Free Rate	2.7%
Beta	0.4
Expected Market Return	12.8%
Cost of Equity	6.8%

Capital weights (capital structure)	
Total Debt & Equity	96'629'541.0
Market Capitalization	94'121'000.0
Total Debt	2'508'541.0
Weight of Debt	2.6%
Weight of Equity	97.4%
Cost of capital (WACC)	6.7%

Key Assumptions

1. We assume that revenue growth can be supported with stable capital intensity (CapEx at 7.5% of revenue), implying efficient scaling
2. We assume that net working capital remains fixed at 14.2% of revenue, assuming no deterioration in cash conversion despite accelerated growth

Cost of Equity Assumptions

- Risk free rate is based on Germany’s 10-year Bond Yield
- The average market return of the DAX over the past 5 years was assumed as the benchmark to calculate the beta

Capital Weights

- Market Capitalization as of 19.02

Sources: Capital IQ (2026c), Bloomberg (2026), Curvo (2026), Trading Economics (2026)

Discounted Cash Flow Sensitivity Analysis

An overvaluation of Rheinmetall is indicated through the Perpetuity Growth Approach

Perpetuity Growth Approach	
Long term growth rate	2.0%
Terminal value in 2029	83'577'015
Present value of terminal value	60'964'195
Present value of stage 1 cash flows	6'704'223
Total enterprise value (TEV)	67'668'418

Terminal value as % of TEV	90.1%
Stage 1 cash flows as % of TEV	9.9%
Implied TV exit EBITDA multiple	8.9x

A 2% growth rate was assumed, to reflect long-term inflation and mature economic growth

Exit EBITDA Multiple Approach	
Terminal year EBITDA	9'395'600
EBITDA multiple	14.0x
Terminal value in 2029	131'538'400
Present value of terminal value	95'949'019
Present value of stage 1 cash flows	6'704'223
Enterprise value (stage 1 + 2)	102'653'242

Terminal value as % of TEV	93.5%
Stage 1 cash flows as % of TEV	6.5%
Implied terminal growth rate	3.7%

We applied an industry peer group median EV/EBITDA multiple to ensure a stable and defensible valuation benchmark

		Equity value per share				
		Long term growth rate:				
	\$1'447.50	0.5%	1.0%	2.0%	2.5%	3.0%
WACC:	7.7%	930.36	995.68	1'160.71	1'267.03	1'395.98
	7.2%	1'013.88	1'091.12	1'290.16	1'421.45	1'584.01
	6.7%	1'111.14	1'203.59	1'447.50	1'613.03	1'823.31
	6.2%	1'225.77	1'338.01	1'642.71	1'856.85	2'137.94
	5.7%	1'362.77	1'501.42	1'891.16	2'177.42	2'569.76

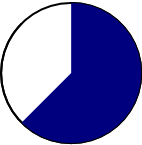
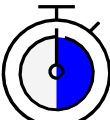
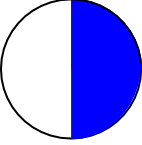
		Equity value per share				
		Exit EBITDA Multiple				
	\$2'210.01	13.0x	13.5x	14.0x	14.5x	15.0x
WACC:	7.7%	2'112.21	2'112.21	2'112.21	2'112.21	2'112.21
	7.2%	2'160.45	2'160.45	2'160.45	2'160.45	2'160.45
	6.7%	2'210.01	2'210.01	2'210.01	2'210.01	2'210.01
	6.2%	2'260.95	2'260.95	2'260.95	2'260.95	2'260.95
	5.7%	2'313.31	2'313.31	2'313.31	2'313.31	2'313.31

Rheinmetall's DCF Outputs indicate that the company is **overvalued** compared to its current share price of \$2,027 using the Perpetuity Growth Approach

Sources: Capital IQ (2026c), Bloomberg (2026), Yahoo Finance (2026a)

Synergies

Synergies stem from vertically integrating sensors, platforms, and ammunition in the current rearmament cycle

	Synergies	Reasoning	Duration	Impact
Revenue Synergies	- Cross-selling integrated land platform with sensor packages - Bundled vehicles, ammunition and sensor solutions - Capture of NATO modernization tenders	- Combining Rheinmetall's land platform with Thales' electronics creates a vertically integrated product - Governments prefer full-system procurement to reduce integration risk	 3-5 yrs	
Cost Synergies	- Elimination of overlapping SG&A and administrative functions - Procurement consolidation - Manufacturing footprint optimization across EU sites	- Both operate heavy industrial production in EU - Combined purchasing increases supplier bargaining power - Elimination of overlapping functions	 2-4 yrs	
R&D	- Integration of electronics and munitions development - Shared engineering platforms across land systems - Reduced duplication in armored vehicles programs	- Rheinmetall has a strong land system, Thales a strong position in sensors and electronics - Combined reduces integration costs and accelerates time to market	 3-6 yrs	
Supply Chain Synergies	- Securing critical component supply (optics, chips) - Vertical integration of key subsystems - Improved production scheduling for ammunition output	- Defense supply chain under stress due to NATO replenishment - Vertical control reduces decencies - Higher capacity utilization improves margins	 1-2 yrs	

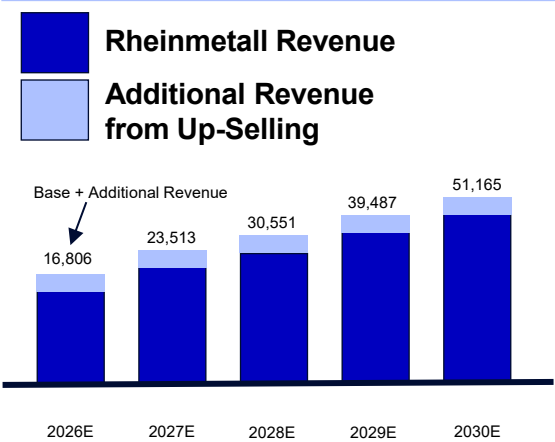
The potential merger elevates an electronics focused defense leader to a fully integrated land systems prime, strengthening its competitive position in NATO rearmament and EU defense consolidation

Sources: Rheinmetall (2024), Thales (2024)

Cost & Revenue Synergies

Synergies of revenue, cost, R&D and supply chain are a result of the merger

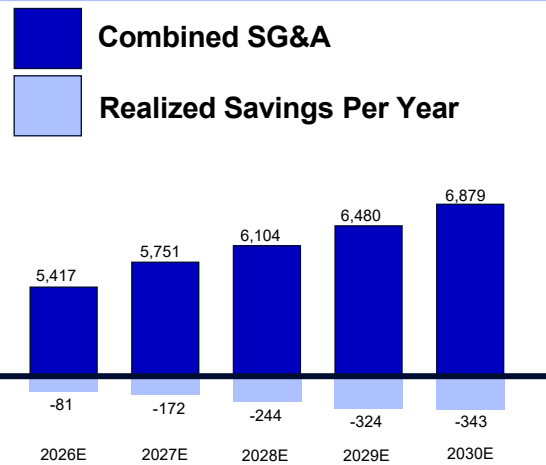
Revenue



Thales can leverage all in one solutions to up-sell fully integrated land systems, enabling premium pricing through strong competitive positioning in NATO tenders. Assuming a **2% upsell on relevant platform revenues**, the merger could generate **\$3,167.17M of additional revenue in 5 years.**

+3,167.17M USD
Additional Revenue 2026 - 2030

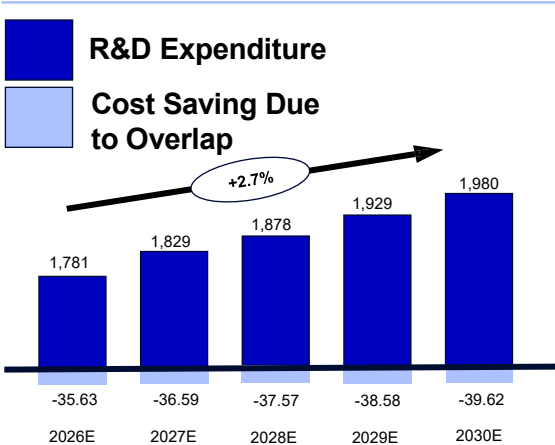
Cost



A **5% reduction** in combined SG&A is assumed, driven by consolidation of corporate functions and shared IT infrastructure. **Synergies** are **phased in gradually** (30% in 2026, 60% in 2027, 80% in 2028, full run-rate from 2029 onward) to reflect integration timelines

- 1,165M USD
SG&A savings (2026-2030) assuming 5% structural reduction phased in

R&D



Over the past five years, Thales and Rheinmetall's combined R&D spending grew **2.7% yearly**. Assuming a **2% overlap** in total R&D costs (electronic integration, systems development, innovation), the merger can generate **\$187.99M** in cumulative R&D savings over the next 5 years.

-187.99M USD
R&D saving 2026 - 2030

Supply Chain

Thales' supply chain is sensor and electronics focused, asset-light and system integrated

Rheinmetall's supply chain is manufacturing heavy, vertically integrated and capacity driven

Thales and Rheinmetall have distinct supply chains and sovereign production constraints, **supply chain synergies** are expected to be **low**. Value creation comes from coordinated procurement of the shared components, improved production planning, and higher capacity utilization rather than full manufacturing consolidation.

Source: Capital IQ (2026c), Yahoo Finance (2026a)

Merger of Equals Model

Merger of equals is EPS dilutive through year 5 even under base-case synergies

Key Assumptions
Structure of Merger of Equals

- 40% Thales / 60% Rheinmetall

Thales Revenue Growth

- 7.0% per year

RHM Revenue Growth

- 30% to 14% as base grows

Thales Net Margin

- 5.2% to 6.2% improving due to defense mix

RHM Net Margin

- 8% to 10% through fixed cost leverage at scale

Tax Rate

- 26%, a mix of German and French Taxation

Revenue Synergies

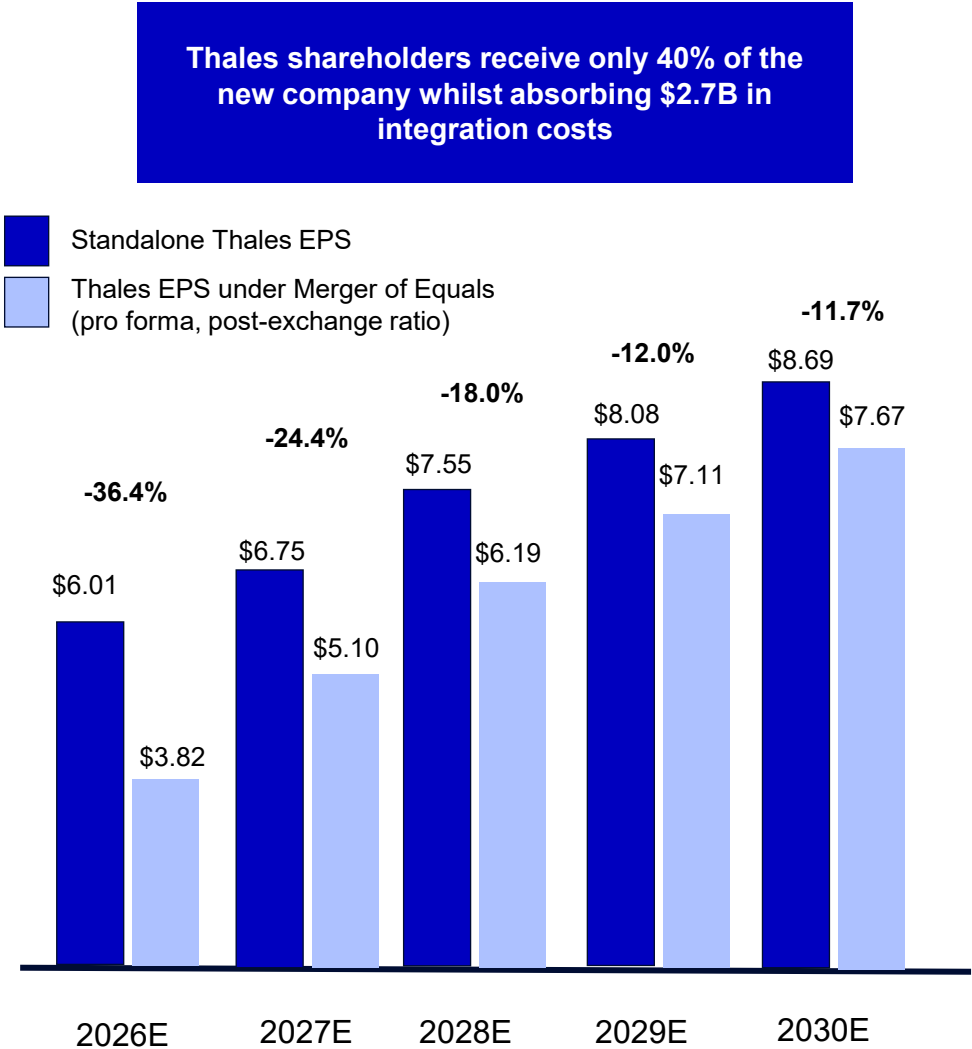
- \$3,167M (5yr)

SG&A Savings

- \$1,165M (5yr)

Integration cost:

- \$2,670M total



Why is This Approach Not Preferred

Dilution is Structural

- Thales Receives 40% of the new company but gives up its standalone growth trajectory

Synergies cannot save this approach

- At a full run-rate, Year 3 dilution is still -18%, break even occurs at 3x of the modelled synergies

Integration costs drag early period

- \$2.7B charged across first 3 years dilutes the already dilutive years

Cultural differences

- Different corporate cultures and governance frameworks increase integration complexity

Even at full synergy run-rate from Year 3, Thales shareholders are still worse off than without merger

Source: Capital IQ (2026d), Yahoo Finance (2026b), Euronext (2026), XETRA (2026)

Merger Feasibility Analysis



Feasibility is constrained by cross-border defense sovereignty, clearance remedies, and limited realizable synergies

Expertise Thales Requires to Run Rheinmetall

Industrial Scale Manufacturing

- Managing high-volume artillery & ammunition ramp-up cycles
- Oversight of capital-intensive armored vehicle production
- Exposure to volatile working capital tied to consumables

Sovereign Defense Governance

- Navigating Bundestag oversight and domestic procurement rules
- Political handling of sensitive ammunition capacity expansion
- Operating within Germany's defense-sovereignty expectations

Expertise Rheinmetall Requires to Operate Inside Thales

Governance & Ownership Adaptation

- Transition from German-led structure to French state-influenced (26% ownership of Thales) group governance
- Increased scrutiny from German regulators and EU authorities
- Alignment with centralized capital allocation discipline

Strategic Positioning Shift

- Integration into electronics-led corporate strategy
- Reduced standalone autonomy in platform prioritization
- Exposure to cross-border political alignment risk
- Recently expanded into naval and space, limiting focused expansion in these sectors

Thales risks margin dilation by expanding into capital-intensive land manufacturing



Rheinmetall faces sovereignty friction that can limit political support

DCF Valuation

Perpetuity Valuation at 2% growth rate:
\$67.7B TEV

EBITDA Exit Multiple Valuation at 14.0x:
\$102.7B TEV

Implied Fair Value: \$2,210 per share

Current Share Value: \$2,027 per share

Relative and Transaction Valuation

Rheinmetall trades at 42.0x EV/EBITDA

Peer Median: 15.05x EV/EBITDA

Industrial Defense Transactions: 9.0-13.0x median

Merger of Equals

Pro Forma Impact on Thales

Ownership: 40%

\$2.7B integration costs

-36% EPS dilution Year 1 → -12% in Year 5

Break-even required 3x Synergies

Implied Control Premium at 40/60 structure: 0%

A merger of equals is not recommended as financial terms are misaligned, and value creation accrues disproportionately to Rheinmetall

Thales should NOT merge with Rheinmetall

Source: Capital IQ (2026d), Yahoo Finance (2026a), Thales (2024), Rheinmetall (2024)

Alternative Strategic Directions

There are many options available to the company, but few that are going to benefit the company in the long run

Expansion into Land defense



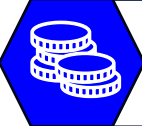
Misalignment with Future Warfare

Future battlefield is shifting to decentralized, software-defined technology, where physical hardware is threatened by cheap autonomous vehicles.



Intense Competition

The sector is dominated by major companies in Europe, that have established contracts and a headstart in expertise and production capabilities.



Opportunity Cost

Entering a new vertical with high CAPEX intensity and limited overlaps with existing divisions ties a lot of capital and bears fiscal and strategic risks

NOT ADVISABLE: Expensive transition into segment of losing relevance

Achieve higher operational efficiency by vertical integration

Objectives of Integration	Explanation	Limitations
Sovereignty	Secure control over critical supplies to reduce dependencies	Key dependencies are determined by geopolitics and state ownership and are therefore beyond corporate control
Reducing bottlenecks	Ensure availability of production factors to increase output	Supply bottlenecks are often caused by regulation and global capacity constraints (e.g. Semiconductors)
Control & Efficiency	More control over operations & products and cost efficiencies	Focus on further production layers leads to strategic dilution, ties capital, increases complexity and reduces margins

NOT ADVISABLE: complexity without solving structural supply bottlenecks.

Expand into UAV production & Development

✓ UAVs are critical for future warfare.

✗ UAV production is structurally wrong for Thales:

The nature of the Industry

- Drones are commoditizing
- low margins
- Fast obsolescence
- distinct from Thales native industries

Conflicting business models

- Hard production requires Different operating model
- Manufacturing vs systems integration
- Expensive & capital intense to set up and maintain

Channel conflicts

- Loses neutral supplier status
- Risk of losing core contracts
- Would harm the core high margin business

High valuations

- Segment is in a “hype”
- Targets high valuations
- Thales risks overpaying for tech that depreciates fast

NOT ADVISABLE: wrong business model, low margin, high valuations

Inorganic growth by competitor acquisition creates scale but destroys value

Value Creation



Market Share

Access to new customer bases and markets



Capabilities/IP/Talent

Access to competitive advantage



Synergies

Top and bottom-line synergies due to similarity

Value Destruction



Regulatory antitrust

If Thales gains major market share in a segment



Integration costs

Clashing cultures, processes and management



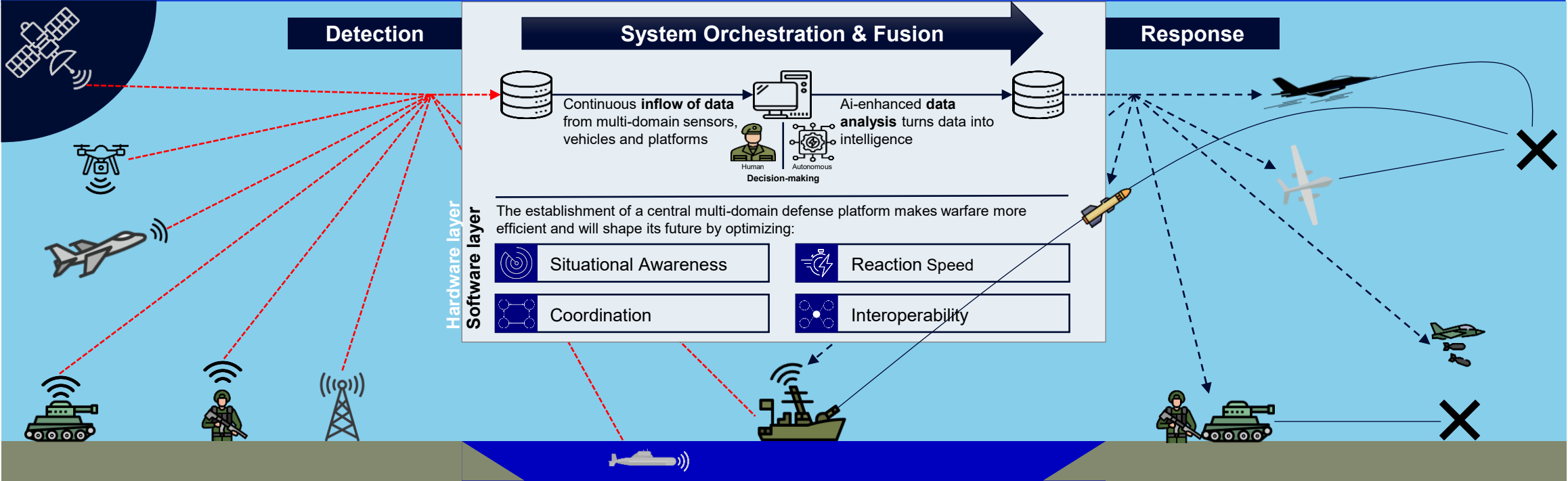
Large overhead

Permanent cost burden reducing value of transaction

NOT ADVISABLE: high cost, low incremental value

Future of Warfare

To understand the best long term strategic direction for Thales, one needs to consider how defense and capabilities will change in the future



DEVELOPMENTS OF THE FUTURE BATTLEFIELD

Hardware Layer

- Growing importance of low-cost **UAVs & autonomous platforms**
- Continued **innovation** in military technology that need to be adapted to
- Availability of cheap technology and big data analytics enable real-time **situational awareness** and more **accurate and lethal targeting**

Software layer

- **AI will underlie or take over decision-making processes** across the future battlefield
- Software architecture will be needed to **integrate autonomous platforms** with each other and with human operators
- **Hybrid warfare** will be increasingly important, with **non-kinetic attacks** and their defense gaining significance

Source: National Intelligence Council (2021), European Commission (2024))

Implications for Defense companies

- The **"Bigger is Better"** principle is challenged as **dynamic steering and fast innovation cycles** are important
- Focus shifts from lethality to providing an **information edge** through data collection and analysis
- **Innovation** will be of growing importance to remain competitive
- Large profit potentials exists in the **software and integration fields**, that rely on:



Culture

Dynamic Culture of innovation



Expertise

Know-how in AI, autonomy, software and defense



Legitimacy

Important to secure contracts and access to sensitive government data

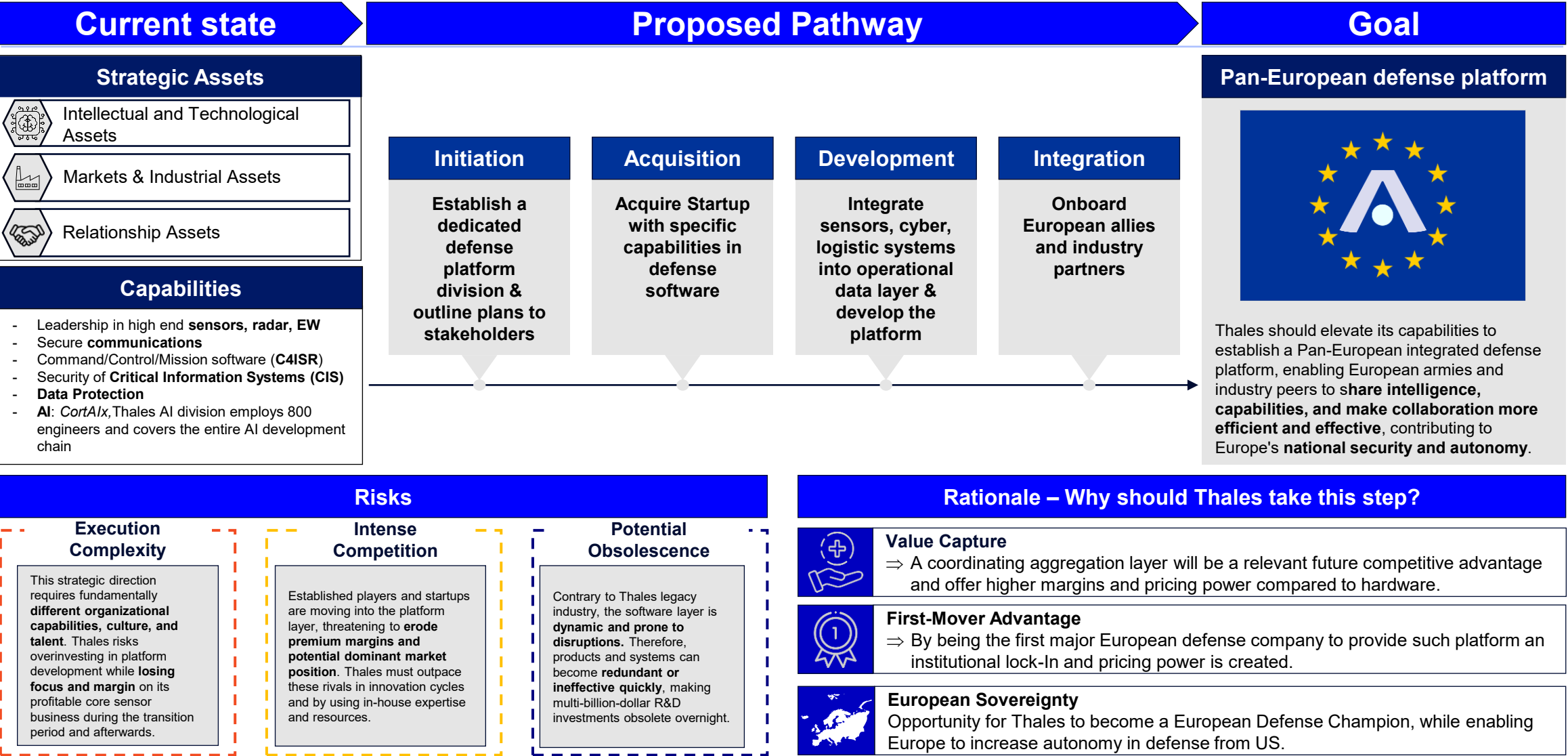


Adjusted Business model

Different focus, strategy and product

Proposed Alternative Strategic Direction

Thales should seek to become the provider of an integrated European Defense Platform



Source: Thales Group (2025a), Thales Group (2026)

Potential Acquisition Targets

Strategic M&A options to accelerate the platform build-out

	 Mistral AI	 Helsing	 Arondite	 Almato
Overview	- French frontier AI startup (~500 employees) Significant AI capabilities across multiple domains Flagship products: open & proprietary LLM (Mistral 7B, Mixtral MoE) - Focused on European sovereignty - Among major European AI players (~€14B)	- German tech company focusing on Ai-enhanced battlefield decision system and autonomous systems (~500 employees) - Significant valuation (~€12B.) making it Europe's most valuable defense start-up. Established contracts with European governments & battlefield experience in Ukraine	- UK-based defense software company focused on autonomous system integration - Founded by former British Army officers and veterans of Helsing and Palantir Early-stage startup with seed funding	- Stuttgart-based AI subsidiary of DATAGROUP SE (~200 employees, ~€24M revenue) - Flagship product Bardioc: semantic data platform with 20+ years R&D - BSI VS-NfD certified — deployed in German defense & intelligence - EBIT margin >25%; owned by KKR/HHS since Q3 2025 (€450M deal)
Advantages	- Significant AI knowhow - Talent magnet for Ai engineers - Could help Thales leverage AI in their platform and optimize data usage	Excellent Strategic fit for Thales High levels of experience in the AI/defense software space - Proven deployment pathways and trust with European defense customers	- Aligns with Thales strategic direction through expertise in UAV integration - Ealy-stage phase of startup results in lower acquisition costs and easier integration	- Direct strategic fit across all 3 Thales divisions: C4ISR, Cyber, Aerospace EU-sovereign, ITAR-free platform — no US/Chinese technology dependencies
Disadvantages	Horizontal AI focus, not defense specific Limited strategic alignment due to limited platform focus and more specific AI know-how - Adaptation and changes required from commercial to defense purposes High valuation and ownership competition	Large valuation plus a high premium would make the acquisition financially troublesome and relevant profitable payoffs questionable. - Helsing is pursuing an independent scaling strategy making a friendly takeover unlikely Antitrust issues might arise due to the significant size and relevance of Helsing as a European defense player.	Narrow focus on autonomy and robotics integration , instead of full platform scope Small scale of the company suggests limited impact (<50 employees) Limited experiences with contractors	Carve-out from DATAGROUP requires KKR/HHS PE negotiation Key-person risk (CEO Sauter, AI lead Boos) requires retention - DATAGROUP cloud dependency needs transitional service agreements
Feasibility	Low: High (integration costs) for limited strategic alignment	Medium: Although Helsing would be a strategic fit, Thales would overpay for capabilities and risks challenging integration efforts due to the size and prominence of Helsing in the sector.	Medium: Good technical fit but small impact due to small scope and size	High, as it complements Thales and helps it move in strategic direction while being financable 

Source: Mistral AI (2026), Helsing (2026), Arondite (2026), Almato AG (2025a)

Company Snapshot

- Almato AG develops Bardioc, a semantic AI platform that integrates heterogeneous data sources through ontologies and knowledge graphs — enabling machines to understand meaning across structured and unstructured data, not just process it
- Their flagship Product Bardioc holds BSI VS-NfD certification, making it one of very few commercially available platforms approved for German classified environments — positioning it at the intersection of enterprise AI and defense-grade security



Headquarters
Stuttgart, GE



Foundation
1998



Employees
~200



Offices
7

Key Clients

Enterprise



Government/ Defense



91% quality improvement in semantic RAG vs. standard RAG

Financials & Ownership

~€24M
Revenue
FY 2023/24

>25%
EBIT Margin
Software-grade

€120K
Rev/Employee
~200 FTEs

Ownership: DATAGROUP SE (100% parent)

KKR European Fund VI — 50%

HHS (Schaber) — 50%

Deal: €450M (~12.5x EBITDA) at €54/share

Closed: Q3 2025 — EC unconditional (Case M.11662)

Delisted: Dec 2025 — Munich Stock Exchange

IPO spin-off: Planned Nov 2024 at 1:1 ratio — cancelled Jan 2025, but confirms DATAGROUP already viewed Almato as separable asset

Partnerships



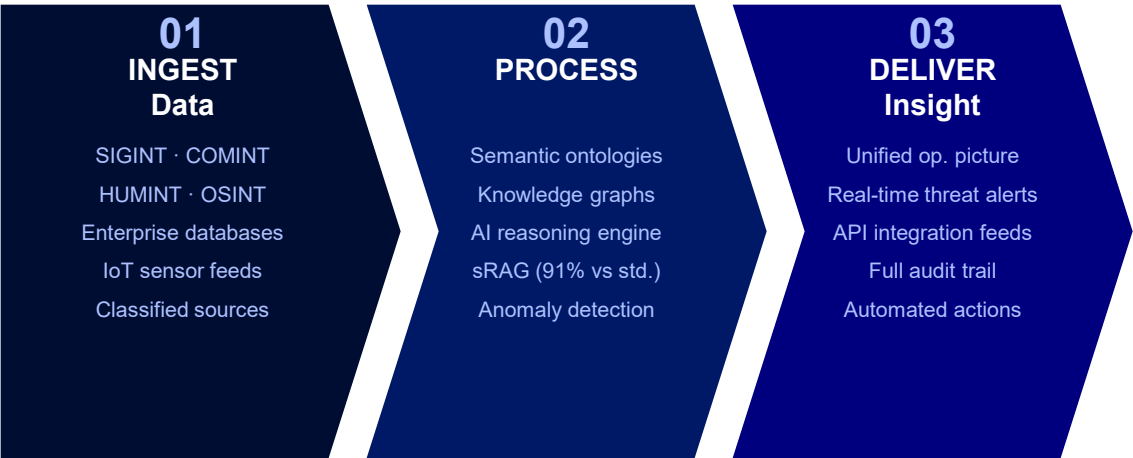
Source: Almato AG (2025a); Almato AG (2025b); Almato AG and valantic (2025); Bloomberg (2025); DATAGROUP SE (2024); DATAGROUP SE (2025a); DATAGROUP SE (2025b); DATAGROUP SE (2025c); DATAGROUP SE (2025e); European Commission (2025a); European Commission (2025b); KKR & Co. (2025); Lincoln International (2025); Chambers and Partners (2025); MarketScreener (2025); Private Equity Wire (2025); Reuters (2025).

Bardioc: The Product



A semantic data platform that connects, understands, and reasons across heterogeneous data sources

Use Case



KPIs

20+ years of proprietary semantic R&D

100s of PetaBytes scalability with high query velocity

Live in 4 weeks — containerized, on-prem or cloud

Platform Capabilities

Semantic Data Integration

Links heterogeneous data sources via **ontologies and knowledge graphs**, preserving meaning regardless of data origin or format. The foundational layer connecting enterprise DBs, sensor feeds, OSINT, and **classified intel** into a **unified semantic model**.

AI Reasoning Engine

True **agentic AI**: **autonomous inference and action execution**, not just pattern matching or LLM wrappers. Reasons over linked data, **detects anomalies**, **maps causal relationships**, and executes actions autonomously via dynamic knowledge graphs.

Full Auditability & GRC

Traceable, explainable AI outputs aligned with **NIS2, GDPR, and BSI compliance frameworks**. Every inference is **logged and auditable** — critical for defense classified environments and regulated industries where black-box AI is unacceptable.

Defense Certification & Deployment

BSI VS-NfD

Highest commercial classification

Multi-INT Fusion

SIGINT, COMINT, HUMINT, OSINT

Granular Access Control

Role-based encryption

Defense Cloud

DATAGROUP Frankfurt DCs
ISO 27001 / ISO 20000
Geo-redundant infrastructure
BSI-certified managed private cloud

On-Premise

Containerized deployment
Air-gapped capable
Full data sovereignty
4-week go-live cycle

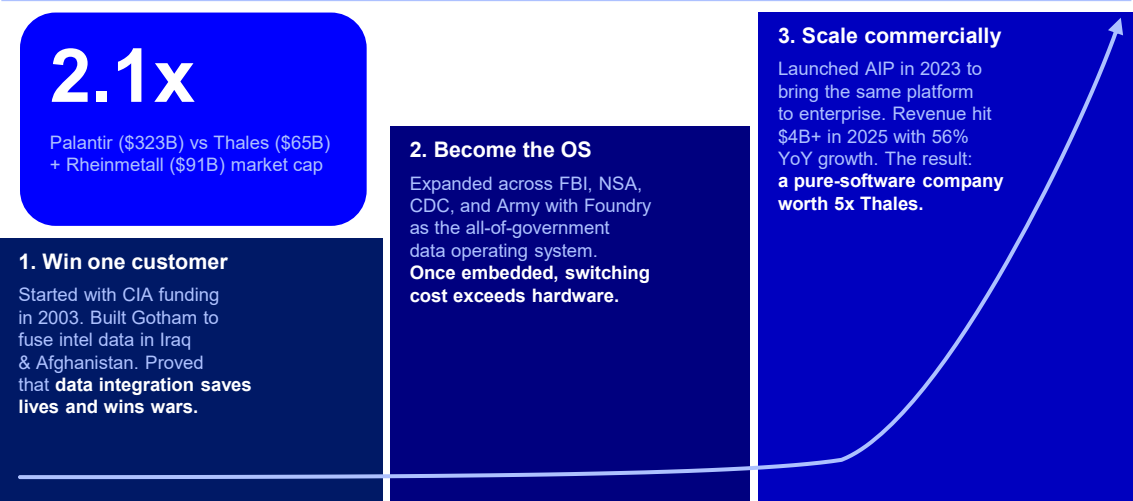
Source: Almato AG (2025b); Almato AG (2025e); Almato AG (2025f); Almato AG (2025g); BSI (2025); DATAGROUP SE (2025d).

STRATEGIC FIT WITH THALES



Thales has the distribution, Almato has the technology — together they build Europe's Palantir

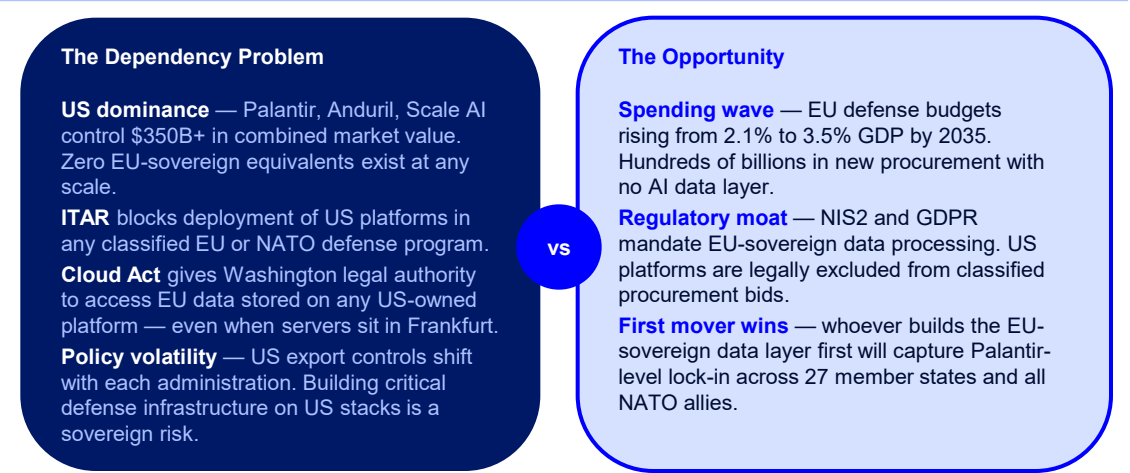
The Palantir Playbook



Almato as a starting point with strong knowledge

The People	The Product	The Position
~200 specialists in Stuttgart with deep expertise in semantic AI, ontologies, and knowledge graphs — built over 20 years. Led by Chris Boos (AI) and Christian Sauter (CEO). This engineering talent does not exist elsewhere in Europe.	Bardioc is live and revenue-generating — not a prototype. Enterprise clients include Deutsche Telekom, DZ Bank, Lidl. Defense clients include BAAINBw, Bundeswehr, BND. Valantic partnership scaling finance, healthcare, and public sector.	BSI VS-NfD certified — already inside classified German environments. ITAR-free, zero US/Chinese dependencies, NIS2 and GDPR compliant. €24M revenue at >25% EBIT margin. These credentials take years to earn and cannot be bought.

Why Europe needs its own



Thales as the Scale engine

68 Countries	Thales operates in 68 countries with €18B revenue. Bardioc embeds directly into TACTICOS, Commandpost, and the entire C4ISR portfolio — reaching every NATO and EU defense buyer through existing Thales sales channels without building new distribution.
€4B+ Annual R&D	Thales spends €4B+ annually on R&D. Almato's €24M platform can be scaled with Thales engineering resources — accelerating Bardioc from single-country deployment to multi-national defense standard in 2–3 years. Reduces internal AI dev spend by €12M/yr.
NATO Ready	Thales serves every major European defense ministry plus NATO agencies. Bardioc slots into three divisions: Defense & Security (C4ISR), Cybersecurity (threat intel), and Aerospace (predictive MRO) — instant cross-sell across the full portfolio.

Source: Almato AG (2025a); Almato AG (2025b); Almato AG (2025c); BSI (2025); CNBC (2026); CompaniesMarketCap (2026a); CompaniesMarketCap (2026c); Council of the European Union (2025); European Commission (2024); European Parliament (2025b); Export Compliance Training Institute (2025); Goldman Sachs (2025); IISS (2025); Janus Henderson Investors (2026); McKinsey & Company (2024); McKinsey & Company (2025a); McKinsey & Company (2025b); Palantir Technologies (2025); StockAnalysis (2026a); StockAnalysis (2026b); StockAnalysis (2026g); Thales SA (2024); Thales SA (2025a); Thales SA (2025b); Thales SA (2025c); Trading Economics (2026); White & Case LLP (2025).

VALUATION & DEAL PRICING

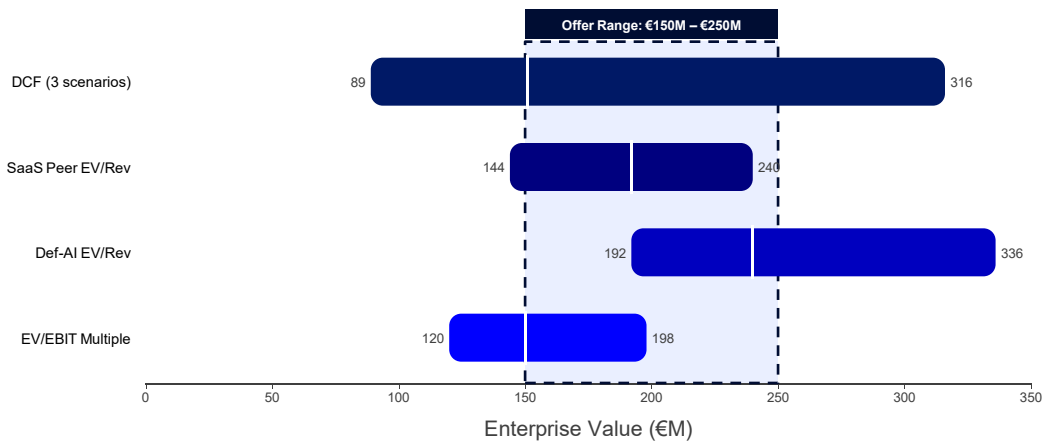
~€200M carve-out from DATAGROUP/KKR at 8x revenue



Comparables

Company	Mkt Cap	EV/Rev	Growth	Sector
Palantir	\$319B	127.3x	+47%	Defense AI (US)
BigBear.ai	\$1.7B	15.8x	-7%	Defense AI (US)
Varonis	\$2.8B	11.1x	+12%	Data Security
Informatica	\$8B	7.5x	+5%	Data Integration
C3.ai	\$1.5B	4.7x	+7%	Enterprise AI
Splunk	\$28B	7.4x	+11%	Data Analytics
Hensoldt	€8.5B	6.6x	+15%	Defense Elec.

Football Field



DCF

WACC: 10.0% Terminal Growth: 3.0% Tax Rate: 29.0% Projection Period: FY25E–FY30E						
Bear Case €71M 12% CAGR • 20% EBIT		Base Case €151M 20% CAGR • 30% EBIT		Bull Case €316M 35% CAGR • 35% EBIT		
Base Case EV Bridge (€M)						
€34M		€116M				
PV Interim FCFs		PV Terminal Value				
Revenue & EBIT Projections (€M) — Thales-Accelerated Scenario						
€M	FY25E	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	24.0	28.8	38.9	54.4	73.5	95.5
Growth	20%	35%	40%	35%	30%	25%
EBIT	6.0	7.5	10.5	15.2	22.0	28.7
Margin	25%	26%	27%	28%	30%	30%
DCF-implied EV range: €71M – €316M Offer: €200M						

The deal

Deal Structure	Why KKR Says Yes
Pricing €200M total (8x revenue) €100M upfront + €100M earn-out	€200M of €450M invested 44% of capital returned in yr 2
Earn-Out 2yr performance-linked tranche Tied to €35M revenue and integration targets	• IRR boost — early partial exit on highest-multiple asset accelerates fund returns • Cleaner story — pure-play IT services co. easier to position for secondary sale • De-risked — removes defense/AI complexity from DATAGROUP narrative • Core intact — keeps €504M rev IT services business w/ recurring contracts • Exit optionality — simpler DATAGROUP trades at 10–12x EBITDA to strategic or PE
Key Person Sauter (CEO) + Boos (MD AI) 3yr retention w/ equity vesting	
Transition 2yr TSA with DATAGROUP Defense cloud + hosting migration	

Source: Cisco Systems (2024a); CNBC (2026); CompaniesMarketCap (2026a); CompaniesMarketCap (2026b); DATAGROUP SE (2025a); GuruFocus (2026); KKR & Co. (2025); Lincoln International (2025); MacroTrends (2026a); MacroTrends (2026b); PitchBook (2026); S&P Capital IQ (2026); StockAnalysis (2026a); StockAnalysis (2026c); StockAnalysis (2026d); StockAnalysis (2026e); StockAnalysis (2026f); Varonis Systems (2025).

All identified risks are manageable with no deal-breakers

Risk	Mitigants
MED 1 KKR Ownership Complexity Carve-out requires negotiation with sophisticated PE firm + Schaber family (50:50 co-control)	➔ Phase 1 OEM creates preferred buyer status KKR's 5–7yr hold = natural exit window 2027–2030. Premium strategic bid accelerates timeline.
LOW 2 Revenue Scale Risk €24M is sub-scale — growth trajectory unproven at enterprise level beyond current clients	➔ Phase 1 validates before €150M+ commitment OEM license proves commercial traction in live Thales environments. Walk-away optionality preserved.
MED 3 Key Person Dependency CEO Sauter and MD Boos (AI) are central to product roadmap, client relationships, and culture	➔ 3yr retention with equity earn-out Embed Almato team in Thales R&D. Knowledge transfer program. Earn-out tied to integration milestones.
MED 4 DATAGROUP Infrastructure Bardic runs on DATAGROUP Defense Cloud — carve-out creates hosting dependency risk	➔ 2yr TSA + parallel Thales cloud build Containerized architecture enables migration. ISO 27001 Thales infra already exists. 4-week deployment.
LOW 5 French-German Political Risk French defense company acquiring German defense-adjacent AI may face AWV \$55 scrutiny	➔ EU-internal = low regulatory risk Thales already operates German subsidiaries. ITAR-free architecture. No classified tech transfer issues.
HIGH 6 Competitive Threat Palantir expanding in EU. Hensoldt building software. Window of opportunity is finite.	➔ Phase 1 OEM = first-mover lock-in Licensing creates switching costs before competitors engage. valantic partnership already active.

Overall Risk: **MODERATE** | Two-phase approach hedges execution risk. All risks have specific, actionable mitigants. No deal-breakers identified.

Source: BSI (2025); CSIS (2024); DATAGROUP SE (2025a); DATAGROUP SE (2025d); European Commission (2024); European Commission (2025b); Export Compliance Training Institute (2025); Federal Republic of Germany (2013); KKR & Co. (2025); Lincoln International (2025); Thales SA (2025a); Thales SA (2025c); White & Case LLP (2025).

Conclusion

Thales should not merge with Rheinmetall and should instead acquire Almato AG

The future of defense and warfare

- Warfare will become increasingly digital and data-focused, with information being the main currency
- To adjust to this new reality, Thales must ensure its competitiveness by being at the forefront of new technologies
- Semantic data platforms are one of the most important developments in changing the way information is used in warfare

Thales as a technological leader

- Thales' strategic direction is highly focused on developing and maintaining technological leadership and being at the forefront
- Through investing heavily in R&D and AI, along with large experience in acquisitions, Thales is well-positioned to continue to follow through with its strategy

Why a merger with Rheinmetall is not advisable

- Rheinmetall operates largely on a different vertical from that of Thales
- A merger of this size would be highly scrutinized on the political level and regulatory level
- Expanding into larger manufacturing for Thales shifts their focus from a R&D-heavy business model to a capital-intensive business model with greater operational complexity
- In a merger of equals the EPS for Thales shareholders does not break even within 5 years despite full rate synergies

Why Thales should instead acquire Almato

- Almato AG's expertise in semantic data platforms and their EU origins make it a safe acquisition to meet Thales' strategic priorities of being a technological leader
- Thales could integrate their existing expertise and AI capabilities with Almato's solutions to create a true European leader, meeting increasing demand for sovereignty and control over data in the EU

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